No. 01

COLLECTION

BUYERS

Becoming a Homeowner in Quebec

The complete first-time buyer's guide — from the idea to the keys

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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COLLECTION BUYERS · GUIDE NO. 01

Becoming a Homeowner in Quebec

The complete first-time buyer's guide – from the idea to the keys

You dream of buying your first property, but you feel a little lost: the steps, the costs, the jargon, the fear of making a mistake “on the biggest purchase of your life”. This guide exists exactly for you.

By reading it, you will know how much it really takes to buy (not just the down payment), how to finance your project with the right tools (HBP, FHSA, donation), what steps to follow and in what order, and above all where the pitfalls specific to Quebec are - and how to avoid them.

How to use it: read it first in its entirety for the overview, then come back chapter by chapter when you get there. After each chapter, a “My notes” section invites you to write down your figures and your questions: it is by personalizing it that this guide becomes YOUR plan. The process can be summarized in eight steps: be ready, finance the down payment, obtain pre-approval, find the property, visit and inspect, make a promise to purchase, sign with the notary, move in.

CHAPTER

Are you ready to buy?

> *Honestly assess your ability to buy before falling in love with a property.*

The rule of the three pillars

A solid purchase project is based on three pillars: the down payment (the cash you put towards the purchase), the borrowing capacity (how much an institution will agree to lend you based on your income, your debts and your credit), and the ability to pay on a daily basis (absorb payments AND recurring costs without suffocating).

The true cost of ownership

Many first-time buyers only calculate the mortgage. Add the following positions each month:

- Municipal and school taxes (often $250 to $500/month depending on the city and value).
- Home insurance.
- Co-ownership charges if condo (administration fund + contingency fund).
- Energy (Hydro-Quebec, heating).
- Maintenance and repairs: allow a reserve of approximately 1% of the property value per year.

Your debt ratios and your credit

Lenders look at the ABD (housing costs ÷ gross income, ideally 32-39%) and the ATD (all your debts included ÷ gross income, capped around 40-44%). Reducing credit card debt before you buy often increases your borrowing capacity more effectively than saving a few hundred dollars more. On the credit side, a score of 680 and above unlocks better rates: pay on time, keep your card usage under 30% of the limit, and avoid opening new credit right before purchasing.

> EMILIE'S ADVICE
>
> *Never shop for a property before you have done your numbers. The worst scenario is to visit, fall in love... then learn that the amount does not pass. We always start with the budget: it's what makes research enjoyable instead of stressful.*

CHAPTER

Finance the down payment (HBP, FHSA, donation)

> *Gather your down payment using every tool available.*

Minimum down payment

In Canada, the minimum down payment depends on the purchase price (2026 edition, to be confirmed because the thresholds evolve): 5% on the portion up to $500,000, 10% on the portion between $500,000 and $999,999, and 20% for a property worth $1,000,000 and more. Example at $450,000: 5% = $22,500. Example at $700,000: $25,000 + $20,000 = $45,000.

Loan insurance (CMHC, Sagen, Canada Guaranty)

If your down payment is less than 20%, the law requires loan insurance. The premium (a percentage of the loan) is added to the amount borrowed. It allows you to buy sooner, with less cash: it's a tool, not a punishment.

HBP, FHSA and family donation

- HBP: withdraw from your RRSP (up to $60,000 per person, to be confirmed) without immediate tax, repayable over 15 years.
- FHSA: tax-deductible contributions AND tax-free withdrawal for a first purchase; cap of approximately $8,000/year, up to $40,000 for life (to be confirmed).
- Family donation: accepted as a down payment with a donation letter confirming that it is not a loan.
- HBP and FHSA can be combined: often the most powerful combination for a first buyer.

> EMILIE'S ADVICE
>
> *Meet with a mortgage broker BEFORE you withdraw anything. The order of withdrawals (RRSP vs FHSA), timing and documentation have a real tax impact. Well orchestrated, we maximize the down payment AND the tax refund the following spring.*

CHAPTER

Mortgage pre-approval

> *Obtain a confirmed amount and a guaranteed rate before shopping.*

Be careful not to confuse prequalification (a quick estimate, without verification, of little value) and preapproval (the lender analyzes your documents and confirms an amount as well as a guaranteed rate for a period, often 90 to 120 days). It's pre-approval that gives weight to your offers.

Documents to prepare

- Proof of income (pay stubs, notice of assessment, T4; financial statements if self-employed).
- Proof of the investment (RRSP/FHSA/account statements, donation letter if applicable).
- Identity document and information on your current debts.

The resistance test

Lenders qualify your file at a rate higher than the actual rate (the "eligible" rate) to ensure that you could receive an increase. The pre-approved amount may therefore be more prudent than hoped: it is a protection. A mortgage broker shops several lenders for you, often at no cost; your bank only sells its own products.

> EMILIE'S ADVICE
>
> *With a pre-approval in hand, we stop "dreaming" and we start "choosing". In a fast market, it can be the difference between getting the house... or watching it go.*

CHAPTER

Find the right property

> *Transform "I'm looking for a house" into clear and hierarchical criteria.*

Make two columns: must-haves (number of rooms, sector, budget, transportation time) and wishes (kitchen island, garage, courtyard). We almost never buy 100% of our list; knowing what is negotiable avoids paralysis.

House, condo or plex?

- Single-family home: more space and autonomy, all maintenance is your responsibility.
- Condo (divided co-ownership): less direct maintenance, but charges and collective life; examine the declaration of co-ownership, the contingency fund and the minutes.
- Plex (duplex/triplex): housing for you, for others to generate income - an excellent springboard.

The neighborhood, what we cannot renovate

We change a kitchen, never a location. Evaluate transportation, schools, services, noise, development projects and potential resale. In Montreal, Laval and on the North Shore, two streets can have very different dynamics: a local perspective is worth gold. Be wary of wide-angle photos and cosmetic "renovations"; the data that counts is the municipal assessment, taxes and the age of the components (roof, windows, furnace).

> EMILIE'S ADVICE
>
> *Always visit at least two or three properties before offering, even if you like the first one. It calibrates your eye on what your budget really buys in the sector - and it makes your decision more serene and solid.*

CHAPTER

The visit and inspection

> *See beyond decoration and protect your investment.*

When visiting, look at the structure, not the furniture: significant cracks, traces of water or humidity in the basement, odors, foggy windows (broken sealant), slope of the land towards the house, condition of the roof, electrical panel, age of the water heater and furnace. Ask if the renovations were done with permits.

Pre-purchase inspection: non-negotiable

Make your promise to purchase conditional on an inspection by a recognized professional. A good inspector spots what the untrained eye misses and gives you a detailed report. A few hundred dollars can save you tens of thousands.

Quebec specificities to watch out for

- Clay soils (Montreal, Laval, North Shore): ground movements, cracks.
- Pyrite or pyrrhotite in certain slabs or foundations depending on the sector.
- Aging French drain, buried oil tank, vermiculite (asbestos) in old attics.

If inspection reveals a problem, three options: renegotiate price, require fixes before sale, or walk away if condition permits. A detected problem is not the end: it is a negotiation lever, or a signal of caution.

> EMILIE'S ADVICE
>
> *Accompany your inspector during the visit rather than waiting for the report. What you learn in two hours about YOUR future home - where the water inlet is, how to maintain the roof - is worth as much as the final document.*

CHAPTER

The promise to purchase and the negotiation

> *Make a solid offer and negotiate without losing the property or your shirt.*

The promise to purchase (often called an “offer”) is a binding document as soon as it is accepted. It specifies the price, the inclusions and exclusions (appliances, lighting), the date of possession and above all the conditions.

The conditions that protect you

- Satisfactory inspection.
- Financing (final obtaining of the loan).
- Examination of documents (certificate of location, seller's declaration, co-ownership documents).
- Sometimes: sale of your current property.

Each condition is a legitimate way out if something goes wrong. To set your price, your broker prepares a comparative analysis (recent sales of similar properties): we offer based on data, not emotion. In a tight market, keep a firm limit decided in advance - there will always be other properties. Never let emotional bidding overtake your plan.

> EMILIE'S ADVICE
>
> *A winning offer isn't always the highest: it's often the cleanest - reasonable terms, dates that suit the seller, solid financing. Well presented, it reassures the seller as much as the amount.*

CHAPTER

Sign at the notary (and closing costs)

> *Understand the home stretch and avoid cost surprises.*

In Quebec, the deed of sale of a building is signed before a notary. The notary verifies the titles (that the seller is the owner, without hidden charges), prepares the deed of sale and the mortgage deed, receives and redistributes the funds, and publishes the sale in the Land Registry. The certificate of location, prepared by a land surveyor, describes the property and points out any irregularities.

Closing costs to budget for

- Welcome tax (transfer duties).
- Notary fees.
- Adjustments (taxes already paid by the seller, fuel oil, condo).
- Inspection, possible certificate of location, initial home insurance.

The welcome tax

Municipal tax payable a few weeks or months after purchase, calculated on the higher of the price paid or the adjusted municipal assessment, in installments (2026 edition, provincial thresholds indexed annually, to be verified): approximately 0.5% on the first installment (up to ~$58,900), 1.0% up to ~$294,600, then 1.5% beyond. Montreal adds higher brackets for high-value properties. Indicative example at $450,000 outside Montreal: approximately $4,800. Always ask for an estimate BEFORE purchasing.

> EMILIE'S ADVICE
>
> *Put the welcome tax aside upon purchase, in a separate account. It often happens when you have just spent everything on moving in - planning for it means avoiding the only "bad memory" of an otherwise successful purchase.*

CHAPTER

Move in and get started

> *Succeed in the transition and protect your new assets.*

The checklist for the first 30 days

- Hydro-Quebec transfer, internet and active insurance upon taking possession.
- Change of address (SAAQ, RAMQ, employer, institutions, Canada Post).
- Change the locks.
- Locate the main water inlet, electrical panel and valves.

Build up your maintenance reserve

Take the logic of 1%/year: automate a small monthly transfer to a “house” account. The first furnace or roof won't catch you off guard. You are now an owner, and real estate is a long-term asset: preventive maintenance, value-added improvements and market monitoring will increase your assets.

> EMILIE'S ADVICE
>
> *Keep in touch with your broker even after the purchase. A good relationship means years of free answers (value, profitable renovations, time to resell) - and when the day comes, someone who already knows your property.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Calculate my actual budget and check my credit score.
2. Gather my financial documents.

Within 30 days

1. Meet with a mortgage broker and get pre-approved.
2. Optimize HBP and FHSA with an advisor.
3. Define my criteria and my two sectors.

Then

1. Book a free consultation with Emilie to launch the search with a clear plan and a local perspective.

REFERENCES

Resources & glossary

- ABD / ATD: debt ratios used by lenders.
- HBP: immediate tax-free RRSP withdrawal for the purchase, repayable over 15 years.
- FHSA: account dedicated to the first purchase, deductible contribution and tax-free withdrawal.
- CMHC: company which (with Sagen, Canada Guaranty) insures low down payment loans.
- Welcome tax: municipal transfer taxes, payable after purchase.
- Certificate of location: document from the land surveyor describing the property.
- OACIQ: organization that regulates real estate brokerage in Quebec and protects the public.

GO FURTHER

Quiz - test yourself

1. The minimum down payment for a property of $450,000 is generally:

A) 20%
B) 10%
C) 5%
D) 0%

2. What is mortgage loan insurance (CMHC/Sagen/Canada Guaranty) used for?

A) Insure the house against fire
B) Allow you to purchase with a down payment of less than 20%
C) Pay the welcome tax
D) Replace inspection

3. FHSA stands out because:

A) Contributions are deductible AND withdrawal for a first purchase is tax-free
B) He has no ceiling
C) It replaces pre-approval
D) It is reserved for investors

4. A mortgage pre-approval:

A) Is a simple estimate without verification
B) Confirms an amount and guarantees a rate for a period
C) Required to purchase within the week
D) Is issued by the notary

5. The stress test is used to:

A) Test the foundation
B) Qualify the borrower at a rate higher than the actual rate
C) Check titles
D) Calculate the welcome tax

6. When choosing a property, the element that can NOT be renovated is:

A) The kitchen
B) The roof
C) The location/neighborhood
D) Windows

7. The pre-purchase inspection should ideally be:

A) Optional and done after signing
B) A condition of the promise to purchase, by a professional
C) Made by the seller
D) Replaced by the photos on the sheet

8. Which is a classic condition of a promise to purchase?

A) The color of the walls

B) Obtaining financing

C) The seller's move in 3 days

D) The seller’s choice of notary

9. In Quebec, the deed of sale of a building is signed in front of:

A) A mortgage broker

B) An inspector

C) A notary

D) A surveyor

10. Welcome tax (transfer duties):

A) Paid for each month with the mortgage

B) Is calculated in installments on the higher of the price or valuation, payable after purchase

C) Is included in the notary’s fees

D) Only exists in Montreal

Answers

1. C - 5% up to $500,000 (chap. 2).

2. B - It makes the purchase possible with less than 20% down (chap. 2).

3. A - Entry deduction and tax-free withdrawal: the best of both worlds (chap. 2).

4. B - Confirmed amount and guaranteed rate, often 90 to 120 days (chap. 3).

5. B - We qualify at a higher “admissible” rate, out of caution (chap. 3).

6. C - The location is never renovated: this is the king criterion (chap. 4).

7. B - Condition of the promise, by a recognized professional (chap. 5).

8. B - Financing is a classic protective condition (chap. 6).

9. C - The notary verifies the titles and publishes the sale (chap. 7).

10. B - In installments, on the highest value, payable after purchase (chap. 7).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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